

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST,

COMPLAINANTS

v.

APS EAST COAST, INC.,

RESPONDENT.

**MOTION OF KAWASAKI KISEN KAISHA, LTD. AND MITSUI O.S.K. LINES, LTD.
FOR LEAVE TO FILE A BRIEF AMICUS CURIAE**

Movants Kawasaki Kisen Kaisha, Ltd. (“K” Line) and Mitsui O.S.K. Lines, Ltd. (“MOL”) (collectively, “Movants”) petition the Commission for leave to file an amicus brief in Docket 23-04, in accordance with Rule 73 of the Commission’s Rules of Practice and Procedure, 46 C.F.R. 502.73. This matter not being in the posture of briefing during the conduct of the Docket, Movants ask the Commission to grant leave for filing the Brief lodged herewith at this stage of the proceeding now that the Initial Decision (“I.D.”) has been issued and the positions of

the parties in the Docket are clear. It was obviously not possible to file an amicus brief prior to the filing of exceptions. Such amici request now becomes crucial because exceptions were inadequate and did not state clearly and completely the law applicable to the \$10 “Access Fee.”

“K” Line and MOL are ocean common carriers within the meaning of 46 U.S.C. §40102(18). Each call at ocean marine terminals operated throughout the United States. The subject of this Motion and the accompanying Brief is a \$10 per unit “Access Fee” included in the respondent’s Rate Sheet as in effect since June 1, 2024. This “Access Fee” is described in the I.D. in obiter dictum but not ruled upon. The Fee imposes actual, ongoing, and unreasonable burdens on vessel operators, such as Movants, through their subcontractor stevedores. No service is rendered to Movants or their subcontractors for the Fee, who are nominally assessed the Fee. Movants therefore have a significant interest in resolution of this issue which also has broader legal implications in the FMC’s regulatory scheme. This is a violation of 46 U.S.C. § 41102(c).

Movants would be financially impacted by this unlawful practice in amounts in excess of one million dollars in lost revenue annually by its imposition. Movants load and discharge in excess of one hundred thousand units annually at Baltimore, each of which would be subject to the Fee.

The Brief does not deal with an indemnity clause (“Indemnity”) in the Rate Sheet which has the effect of transferring responsibility for negligence, in violation of 46 C.F.R. § 525.2(a)(1), prohibiting terms transferring responsibility for negligence of another person. Movants appreciate that dealing with the indemnity clause might be considered expanding the issues improperly, hence, Movants will not comment on it.

Through their amicus brief, Movants make clear their interests in seeking to participate as amici and in assisting the Commission with the application of law, including Congressional intent, not presented by the parties or in the I.D. *See, Sea-Land Serv., Inc. – Possible Violations of the Shipping Act*, 29 S.R.R. 1326, 1329 (2003) in which the Commission rejected more restrictive practices and required amicus movants, at any stage of a proceeding, to state their interests and explain how their participation as an amicus curiae would be advantageous to the record; *In Re: Vehicle Carrier Servs.*, FMC Docket Nos. 16-01, 16-07, 16-10, 16-11 at 6 (Served Aug. 30, 2018), acknowledging the Commission’s broad discretion in granting amicus curiae and citing *Ryan v. CFTC*, 125 F.3d 1062, 1063 (7th Cir. 1997) for recognizing that “the amicus has unique information or perspective that can help the court beyond the help that the lawyers for the parties are able to provide.”; and *Intermodal Motor Carriers Conference, Am. Trucking Ass’n, Inc. v. Ocean Carrier Equip. Mgmt. Ass’n, Inc. et. al*, FMC Docket No. 20-14, at 1 (July 23, 2024, stating the intention of an amicus brief is to aid the Commission by presenting alternative perspectives or legal arguments that the involved parties might not provide.

Movants submit in support of filing that the I.D. contains rulings based on certain fundamental misconceptions which infect its analysis and is incomplete insofar as ruling on all issues before the Administrative Law Judge (“ALJ”). Movants restrict their comments to legal issues, thus do not comment on the question on reparations dealt with in the Exceptions. These legal rulings are covered in detail in Movants’ Brief, but are essentially as follows:

1. The I.D. does not consider the status of the Marine Terminal Operator (“MTO”) Rate Schedule as having displaced and replaced any “Tariff” as the only publication of rates. Terms and charges authorized by Commission regulations, in 46 CFR Part 525, are set forth therein. The appellation of “Tariff” has no place in this Docket, which is concerned with the legality of the provisions of an MTO Rate Sheet (not a “policy” as termed by the I.D.). The Rate Sheet must conform to the strictures of 46 CFR Part 525 and is unlawful to the extent it does not.

2. The I.D. rules on the respondents' Rate Schedule in effect before June, 2024, rather than on the Rate Schedule's relevant provisions in effect from that time on through the present, which purport to impose a \$10 per unit charge as an "Access Fee." The ALJ declined to rule on the legality of the \$10 "Access Fee." This makes the Decision a mere academic exercise, inapplicable to the charge purportedly levied in the Rate Sheet. It thus overlooks the complainants' challenge to any charge which is not supported by the MTO with benefits specific to the payor considered on a pre-hoc basis. Movants support complainants' challenge to the I.D. in this respect. This abdication allows respondents to avoid a ruling on a major issue presented in the Docket, which cries out for resolution, to the effect that no such charge can be levied without the payor receiving a reasonable accompanying benefit.
3. The I.D. avoids the obligation to rule on this major issue, presented in the complaint, which is subject to a long litigation history, legislative history, and the provisions of 46 CFR Part 525.
4. The I.D. does not consider the Rate Schedule provisions in effect since June, 2024. It ignores the violation of the stricture that any MTO charge must be accompanied by a service in return therefor. The content of all relevant provisions of the Rate Sheet is obscured by the failure to present them for ruling in a clear and complete fashion. Movants' interest in these I.D. deficiencies is plain, as ocean carriers who will be the ultimate payors of the access fee.

Movants subcontractor stevedores are nominally liable under the rate sheet to pay the extant \$10 per unit charge per the Rate Sheet, but the I.D. recognizes that the carriers will be the ultimate payor. In return the carriers get nothing but sweet talk about such as terminal infrastructure.

Thus the result of the "Access Fee" is a burden in the millions of dollars on Movants, with the proceeds going straight to respondents' bottom line. The Complaint at COUNT II - VIOLATIONS OF 46 U.S.C. § 41102(c) raised the issue as to any such charge, but Complainants briefing in the docket and the exceptions do not adequately cover the unlawfulness of the "Access Fee" under 46 U.S.C. § 41102(c). However, Movants' Brief explores the issue of the "Access Fee" violation of the Act, we submit in the orderly and complete fashion it deserves, for the benefit of the Commission's review of the legal rulings in the I.D. de novo.

In conclusion, Movants submit that the Commission should grant permission to file the brief lodged herewith and issue rulings as requested in Movants' brief.

Dated: March 10, 2025

Respectfully submitted,

/s/ John Meade

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CERTIFICATE OF SERVICE

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